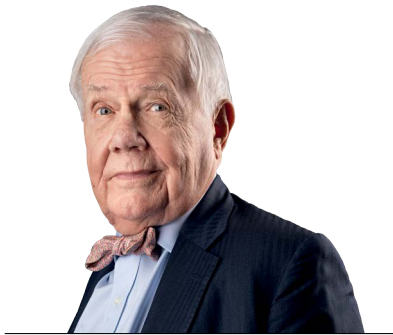




“In the recent months, gold price has started moving up. Whenever a commodity, which has been static for a long period, starts moving, it gathers momentum. That’s what is happening with gold right now”

JIM ROGERS
FOUNDER, ROGERS INTERNATIONAL
COMMODITY INDEX



“A staggered purchase strategy for gold involves buying smaller amounts over a period of time that may help reduce the impact of price fluctuations, allowing for a balanced purchase price”

ADHIL SHETTY
CEO, BANKBAZAR.COM

reassuring and can eliminate the risk of the third party failing to fulfil their obligations. However, it has cons like the need for a secure storage space, purity concerns, and liquidity issues. Selling physical gold can be less convenient and may involve negotiating prices. In addition, buying physical gold is usually costlier than digital gold.

Shetty says, “Digital gold investments like gold exchange-traded funds (ETFs), Sovereign Gold Bonds, and gold mutual funds are some avenues that offer the benefits of conventional gold investments without the hassles of storage and security. Their appeal lies in the liquidity, cost-effectiveness, and convenience of investing.”

Hareesh, however, believes choosing gold as an investment in the physical form depends on an investor’s goals, preferences for convenience, risk tolerance, and how much value they can place on owning a tangible asset.

GOING FOR GOLD

Relying exclusively on gold is generally not a good idea. One is likely to miss out on opportunities offered by other asset classes like equities and bonds.

Experts recommend avoiding holding gold beyond the recommended exposure limit of up to 10% of their portfolio and exploring other investments to diversify the portfolio and achieve financial goals.

Hareesh says, “Usually, investors with a higher risk tolerance might allocate a smaller percentage to gold, while conservative ones might allocate a larger percentage. Anyhow, during periods of high inflation, economic instability, or geopolitical tensions, investors can choose to increase their allocation beyond the usual 5-10% limit.”

According to Mukherjee, however, replacing bonds with gold, to a significant proportion, seems to add massive value to a portfolio. It enhances returns without increasing the risks of the portfolio too much. We are transitioning to a long term or strategic allocation to gold that is far more than what has generally been the case in investor portfolios. “From a 5-10% allocation in balanced portfolios, we are now allocating 15% to gold. This is not at a tactical, opportunistic level but as a structural long-term allocation,” he says.

In conclusion, to get to the pot of gold at the end of the rainbow, a diversified investment approach is crucial in today’s economic environment. Increasing your gold allocation, considering the merits of physical gold versus gold ETFs, and adopting a staggered approach can enhance your portfolio’s performance. The bullish outlook for gold, driven by global economic trends and the strategic role of gold as a hedge, supports a substantial allocation in your investment portfolio. **BT**

@imNavneetDubey